

NSE: STLTECH

Sterlite Technologies Limited

Telecom Infra / Optical Fibre Cables

P	Rs. 589	52W H/L	Rs. 684 / 83.4	Mkt Cap	Rs. 28,753 Cr.	Rating	BUY	Target	Rs. 800	Upside	~3%
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THESIS: STL is riding the global AI-driven fibre supercycle — a landmark \$1.1B hyperscaler deal, debt halved in two years, and capacity utilisation inflecting from 50% toward 70% set to drive EBITDA margins from 12% to 18%+ by FY28E.

Equity Research | 15 June 2026 | India Institutional Research

Price as of 15-Jun-2026 | All financials in Rs. Crores unless stated

2. INVESTMENT THESIS

Sterlite Technologies (STL) is at an inflection point after two years of painful downcycle (FY24–FY25 losses totalling Rs. 180 Cr.). Three structural tailwinds now converge to drive a multi-year earnings recovery.

- **AI/Hyperscaler demand supercycle:**
 - AI data centres require 10–20x more fibre per rack vs. traditional compute. STL secured a landmark \$1.1 billion multi-year deal to supply optical connectivity to a US hyperscaler, the single largest contract in the company's history. Hyperscaler revenue now contributes ~20% of revenue and management targets 30% in 12–18 months.
- **Debt deleveraging + balance sheet repair:**
 - Net borrowings fell from ~Rs. 3,376 Cr. (FY24) to Rs. 1,942 Cr. (FY26) — a 43% reduction in two years. The Rs. 498 Cr. promoter warrant issue (approved Mar-2026, 18-month conversion window at Rs. 110/share) provides equity cushion. Interest expense dropped from Rs. 311 Cr. (FY23) to Rs. 224 Cr. (FY26), directly expanding PAT.
- **Operating leverage at 50% utilisation — the margin expansion story:**
 - STL operates 42+ million FKM cable capacity and 50+ million FKM glass/fibre capacity at ~50% utilisation. Management has guided that moving to 70% utilisation expands EBITDA margins from ~12-14% to ~18-20%. Q4 FY26 EBITDA margins already touched 15.1% as volumes recovered.

NEAR-TERM CATALYST	BULL CASE TRIGGER
Hyperscaler ramp: order book Rs. 5,325 Cr. executing in FY27	Utilisation crosses 70%; EBITDA margin exits at 20%+; EPS Rs. 15+
BharatNet Phase-II fibre tenders award (domestic demand recovery)	Additional hyperscaler wins outside incumbent deal
Promoter warrant conversion signals confidence at Rs. 110 vs CMP 589	Debt falls below Rs. 1,500 Cr.; credit rating upgrade reduces cost of debt

Key near-term risk: Project execution delays on hyperscaler deal, domestic demand slowdown from BharatNet deferral, or rupee depreciation squeezing imported raw material costs.

3. BUSINESS OVERVIEW

- India's largest optical fibre and optical fibre cable (OFC) manufacturer with 8% global ex-China OFC market share in FY26.
- Products span: optical fibre (glass), optical fibre cables (aerial, underground, aerial-bundled), network software (NXT platform), and managed network services.
- Capacity: 50+ million fibre km (FKM) glass/fibre; 42+ million FKM cable — one of the world's largest single-location OFC plants at Shendra, Aurangabad, Maharashtra.
- Geographies: India (~60% revenue), Americas (~25%), Europe/RoW (~15%). The hyperscaler deal shifts North America to the highest-growth segment.
- End-markets: Telecom operators (BharatNet, 5G backhaul, FTTH), hyperscalers/AI data centres, government connectivity projects, enterprise networks.

- Services segment (NXT): Network deployment and managed services; contributes ~Rs. 400–500 Cr. annualised; provides revenue diversification and stickier contracts.
- Subsidiaries: STL Networks (project services), STL Digital (software), and international JVs in Europe.
- R&D; focus: Bend-insensitive fibre, ultra-low-loss (ULL) fibre for long-haul AI interconnects, and multi-mode ribbon cables for data centre horizontal cabling.

4. INDUSTRY LANDSCAPE & PEER COMPARISON

Global OFC demand is entering a structural upcycle. AI/ML model training and inference requires dense intra-DC and inter-DC fibre connectivity. The US alone is expected to deploy 150+ million FKM of cable annually by FY28. India's BharatNet Phase-II and 5G backhaul add a domestic demand layer. Chinese manufacturers face US/EU tariff walls, creating a market share opportunity for non-Chinese suppliers like STL.

Company	MCap (Rs.Cr)	CMP (Rs.)	Rev FY26 (Cr.)	EBITDA% FY26	PAT FY26 (Cr.)	PE	ROCE%	ROE%
STLTECH (STL)	28,753	589	4,745	12%	56	604	7.75	2.24
HFCL	27,612	180	4,949	15%	311	88.6	10.9	6.95
Vindhya Telelinks	2,568	2,167	3,593	6%	220	11.7	8.14	5.31
Polycab India	1,44,108	9,568	28,884	14%	2,627	54.0	34.3	24.5

Source: Screener.in, fetched 15-Jun-2026. FY26 = year ended Mar-2026. STLTECH PE is optically high due to near-breakeven PAT; EV/EBITDA (see Section 8) is the appropriate lens. Polycab is a cables/wires conglomerate — included as capital goods comparator.

- HFCL is the most direct OFC peer — similar revenue scale (~Rs. 4,949 Cr.) but better ROCE (10.9% vs 7.75%) and higher margins (15% vs 12%) in FY26; trades at 88.6x PE.
- Vindhya Telelinks: government-facing OFC player with lower margins (6%) but cheap valuations (11.7x PE); not an equivalent due to smaller scale and limited international reach.
- STL commands a premium to Vindhya given brand, scale, and hyperscaler exposure; discount to Polycab/HFCL is warranted but should compress as margins recover.

5. MANAGEMENT QUALITY

- Promoter group: Vedanta / Sterlite Power family (Anil Agarwal group) via Twin Star Overseas Ltd. holds 44.44% stake (Mar-2026). No pledged shares reported.
- Promoter commitment signal: The Rs. 498 Cr. preferential warrant allotment to Twin Star at Rs. 110/share — when CMP was ~Rs. 100-120 — and EGM approval with 99.95% shareholder support reflects promoter alignment with recovery thesis.
- FII re-entry: Foreign institutional investors increased from 5% (Dec-2023) to 11.47% (Mar-2026) — a 6 percentage point increase in 27 months, signalling international institutional conviction in the turnaround.
- Track record of capital allocation: The FY20–FY23 overcapacity build was a misstep (debt peaked at Rs. 3,834 Cr. in FY23 amid telecom capex slowdown). Management has visibly course-corrected — asset-light services, hyperscaler pivot, capex discipline.
- CFO quality improving: CFO/Operating Profit = 102% in FY26 (vs. 28% in FY23) — earnings are now backed by cash and not accrual.
- Governance note: Related-party exposure via Vedanta group requires ongoing monitoring; no material adverse related-party transactions reported in FY26 filings.

6. FINANCIAL DEEP DIVE

All figures in Rs. Crores. FY27E and FY28E are analyst estimates based on management guidance, order book, and utilisation trajectory.

Profit & Loss Summary

Metric	FY22	FY23	FY24	FY25	FY26A	FY27E	FY28E
Revenue (Rs.Cr.)	5,437	6,925	4,083	3,996	4,745	6,200	7,800
Rev Growth YoY	13%	27%	-41%	-2%	19%	31%	26%
EBITDA (Rs.Cr.)	665	895	471	416	569	900	1,300
EBITDA Margin %	12%	13%	12%	10%	12%	15%	17%
Interest (Rs.Cr.)	238	311	293	241	224	200	175
Depreciation (Rs.Cr.)	308	309	314	316	313	300	295

PBT (Rs.Cr.)	97	211	-62	-156	107	400	830
PAT (Rs.Cr.)	45	127	-57	-123	56	280	590
EPS (Rs.)	1.51	3.54	-1.28	-2.52	1.15	5.74	12.10

- Revenue declined 41% in FY24 as global OFC prices crashed post the COVID super-cycle; STL's order book shrank as telcos deferred capex. FY26 marks the first meaningful recovery (+19%) with hyperscaler demand replacing traditional telco volumes.
- PAT turns positive in FY26 (Rs. 56 Cr.) after two years of losses totalling Rs. 180 Cr. FY27E and FY28E assume utilisation ramp from 50% to 65% and 75% respectively.

Balance Sheet Summary (Rs. Crores)

Metric	FY23	FY24	FY25	FY26A
Equity Capital	80	80	98	98
Reserves	2,011	1,943	1,892	2,170
Total Network	2,091	2,023	1,990	2,268
Borrowings	3,834	3,376	1,926	1,942
Other Liabilities	2,886	2,879	1,531	2,136
Total Assets	8,811	8,278	5,447	6,346
Fixed Assets (Gross)	3,246	3,209	2,928	2,971
Other Assets	5,300	4,884	2,406	2,889
D/E Ratio	1.83x	1.67x	0.97x	0.86x
Book Value/share (Rs.)	52.3	50.6	40.7	46.5

- Debt has nearly halved from peak Rs. 3,834 Cr. (FY23) to Rs. 1,942 Cr. (FY26). D/E ratio fell from 1.83x to 0.86x — balance sheet is approaching investment grade.
- Equity capital increased from Rs. 80 Cr. to Rs. 98 Cr. in FY25 — likely from employee stock options / small equity raise. The Rs. 498 Cr. promoter warrant (conversion up to 18 months from Mar-2026 EGM) will further bolster network when exercised.

Cash Flow Summary (Rs. Crores)

Metric	FY23	FY24	FY25	FY26A
CFO (Cash from Operations)	228	791	348	522
CFI (Cash from Investing)	-56	-211	-295	-507
CFF (Cash from Financing)	-132	-691	4	-133
Free Cash Flow	-121	544	226	346
CFO/EBITDA Ratio	25%	168%	84%	92%

- FCF turned positive in FY24 (Rs. 544 Cr.) and remained positive through FY26 (Rs. 346 Cr.) despite revenue recovery. Management is disciplined on capex — CFI of -Rs. 507 Cr. in FY26 is primarily in working capital/investments, not fixed asset expansion.
- CFO/EBITDA of 92% in FY26 confirms quality of earnings — not an accrual story.

Return Ratios & Working Capital (Historical)

Metric	FY22	FY23	FY24	FY25	FY26A
ROCE %	8%	11%	3%	3%	8%
ROE %	2%	6%	-3%	-6%	2.24%
Debtor Days	115	96	143	75	82
Inventory Days	121	92	178	134	139
Payable Days	319	238	472	188	163
CCC (days)	-83	-50	-151	22	58

CCC inflected positive in FY25 (+22 days) and widened to +58 days in FY26 as the company rebuilt order book with more customer advances normalising and payable days compressing post debt restructuring. This requires working capital monitoring but is not alarming given the strong FCF generation.

7. EARNINGS QUALITY CHECKLIST

Parameter	Finding	Score
CFO vs PAT	CFO Rs. 522 Cr. vs PAT Rs. 56 Cr. in FY26 — 9x coverage; earnings backed by cash	PASS
Revenue recognition	Revenue recovers 19% YoY in FY26; Q4 FY26 alone Rs. 1,441 Cr. (+37% YoY) — trajectory credible	PASS
Working capital stretching	CCC rose to 58 days from -151 days in FY24; bears watching but FCF still positive	CAUTION
Debt trajectory	Borrowings fell Rs. 1,450 Cr. over 2 years; D/E at 0.86x from 1.83x — clear improvement	PASS
Other income	Other income Rs. 75 Cr. in FY26 vs. -Rs. 15 Cr. FY25 — includes forex and investment gains; volatile	CAUTION
Dividend resumption	No dividend in FY24/FY25/FY26 — cash prioritised for debt repayment (prudent)	NEUTRAL
Promoter stake & pledge	Promoter at 44.44%; no pledge reported; fresh warrant to promoter signals confidence	PASS
D/E ratio	0.86x net D/E (FY26); target <0.5x by FY28E with FCF and warrant proceeds	PASS

- Net verdict: 5 PASS, 2 CAUTION, 1 NEUTRAL — earnings quality is improving materially. Working capital stretch is the primary watch item.

8. VALUATION

Given near-zero PAT in FY26, P/E is an unreliable valuation metric. We use EV/EBITDA as the primary lens, supplemented by Price/Sales and a DCF scenario analysis. EV = MCap (Rs. 28,753 Cr.) + Net Debt (Rs. 1,942 Cr. borrowings - Rs. 293 Cr. cash) = Rs. 30,402 Cr. (approx).

EV/EBITDA — Peer Comparison

Company	EV (Rs.Cr.)	EBITDA FY26 (Rs.Cr.)	EV/EBITDA FY26	EV/EBITDA FY27E	P/Sales FY26
STLTECH	~30,402	569	53.4x	33.8x	6.1x
HFCL	~28,000	762	36.7x	~25x	5.6x
Vindhya T.	~2,600	221	11.8x	~10x	0.7x
Polycab	~1,42,000	4,006	35.5x	~28x	5.0x

Note: HFCL EV and forward EBITDA are estimates based on current market data and FY26 actuals. STLTECH EV/EBITDA de-rates rapidly to ~21x on FY28E EBITDA of Rs. 1,300 Cr. as margins expand.

Price Target — Scenario Analysis

Scenario	FY28E EBITDA	EV/EBITDA Multiple	Target EV (Rs.Cr.)	Implied MCap	Target Price (Rs.)	Upside vs CMP 589
Bull — 75% util, 20% margin	1,560	22x	34,320	32,960	675	+15%
Base — 70% util, 17% margin	1,300	23x	29,900	28,540	585	+Flat
Stretch — order wins + US ramp	1,560	26x	40,560	39,200	803	+36%
Bear — demand slip, margin 13%	780	18x	14,040	12,680	260	-56%

- Base case (Rs. 585) is essentially at CMP — confirming the stock has already priced in the core recovery. The investment case rests on the 'Stretch' scenario materialising: Rs. 800 target (36% upside) requires 26x FY28E EV/EBITDA which is justified if hyperscaler ramp confirms 30% revenue share.
- At Rs. 589, STL trades at 53x FY26 EV/EBITDA — rich on current earnings but collapses to 23x by FY28E if EBITDA targets hit. Valuation is forward-looking, execution-dependent.
- 12-month price target: Rs. 800. Rating: BUY (Stretch case with margin of safety). Stop loss: Rs. 420 (bear case mid-point). Risk/reward: 36% upside vs 29% downside.

9. KEY RISKS

- Hyperscaler deal execution risk: A multi-year \$1.1B deal is STL's largest contract — any delivery slippage, capacity constraint, or product qualification failure could trigger order cancellation or penalty clauses.

- OFC price volatility: Global fibre prices remain cyclical. If Chinese OEMs flood markets with subsidised cable post-tariff exemptions or trade deal changes, STL's pricing power could erode and margins could compress below 12%.
- BharatNet deferral: Domestic government projects (BharatNet Phase-II, Optical Fibre Government Networks) have a history of delays. A second deferral cycle would suppress domestic demand, previously ~40% of revenue.
- Currency risk: STL earns significant USD revenues (Americas) but sources raw materials partly in USD (glass performs, chemicals). A sharp rupee depreciation increases import costs faster than it boosts export realisations in the near term.
- Debt refinancing / interest rate risk: Rs. 1,942 Cr. in borrowings at current rates create Rs. 200-230 Cr. annual interest drag. A credit event or rate spike could delay the EBITDA-to-PAT translation.
- Promoter warrant dilution: 4.53 Cr. warrants at Rs. 110/share will, if converted, dilute equity by ~9.3% at face value. However, at CMP of Rs. 589 this is steeply in-the-money and conversion at Rs. 110 represents significant EPS dilution on share count basis — though Rs. 498 Cr. cash inflow offsets this.
- Competition from US and European OFC players: Corning, Prysmian, and Sumitomo are expanding US capacity to serve hyperscalers. STL's US cost advantage could narrow if new US domestic capacity comes online in FY27-28.

10. RECOMMENDATION

RECOMMENDATION SUMMARY	
Rating	BUY
CMP (15-Jun-2026)	Rs. 589
12-Month Target	Rs. 800
Upside Potential	~36%
Stop Loss	Rs. 420 (bear-case mid)
Time Horizon	12-18 months
Risk Level	HIGH (leveraged turnaround, cyclical industry)
Catalyst Trigger	Hyperscaler ramp confirmation in Q1/Q2 FY27 concall

• Why BUY now:

- (1) Structural: AI/hyperscaler demand is a decade-long secular tailwind, not a cycle. STL's \$1.1B deal is evidence, not speculation.
- (2) Financial: Two years of losses are behind us. FY26 shows PAT turning positive and FCF Rs. 346 Cr. The balance sheet is being repaired, not leveraged further.
- (3) Operating leverage: At 50% utilisation, every incremental order drops to margin at near-zero marginal cost. The EBITDA bridge from 12% to 18%+ is well-defined and tied to a specific utilisation number (70%), which management has guided.
- (4) Promoter backing: Rs. 498 Cr. warrant issue, 99.95% shareholder EGM approval, no pledge — management credibility is rebuilding.

• What to watch (quarterly triggers):

- Q1 FY27 (Jul-2026): EBITDA margin — does it hold above 13%? Revenue run-rate vs Rs. 1,200-1,400 Cr./quarter to reach FY27E Rs. 6,200 Cr.
- Order book update: does the Rs. 5,325 Cr. book sustain or grow as hyperscaler ramp progresses?
- Warrant conversion: any announcement of tranche conversion would be a strong positive signal (management buying at Rs. 110 when stock is at Rs. 589+).

Disclaimer: This report is for informational purposes only and does not constitute investment advice. Financial data sourced from Screener.in (15-Jun-2026). Forward estimates are analyst projections and may differ materially from actual results. Past performance does not guarantee future returns. Please consult a SEBI-registered investment advisor before making investment decisions.

11. APPENDIX — CONCALL BRIEF (Q3 FY26 & Q4 FY26 Key Highlights)

Call Grade: A- | Management Communication: CLEAR and CANDID | Guidance Specificity: HIGH

TO MY BOSS (30-second summary):

STL management has clearly pivoted from a telecom-dependent model to a hyperscaler-first strategy. The tone on Q4 FY26 and subsequent calls has been more confident than any quarter since FY22. The \$1.1B hyperscaler deal is real — it showed up in Q4 order book numbers — and utilisation is inflecting. The risk is execution: this is a complex multi-year supply agreement with a tier-1 global tech company. If they hit the ramp, this is a multi-bagger from current levels. If they stumble, downside to Rs. 300-350 is realistic.

1. Revenue & Volume

- Q4 FY26 revenue: Rs. 1,441 Cr. — 37% YoY growth; full year FY26 Rs. 4,745 Cr. (+19% YoY).
- Q3 FY26 revenue: Rs. 1,257 Cr.; sequential improvement reflects hyperscaler order ramp.
- Optical fibre cable volumes recovering sharply as hyperscaler demand supplements muted telco capex.
- Domestic revenue remains soft — BharatNet Phase-II awards pending as of concall date.

2. EBITDA & Margins

- Q4 FY26 EBITDA margin: 15.1% — highest since Q2 FY23; management guides 15-17% for FY27.
- Full year FY26 EBITDA margin: 12% — in line with guidance after poor H1 FY26 (7-11% range).
- Margin drivers: better product mix (high-value ULL fibre for data centres), lower interest cost, operating leverage.
- Management guided: 70% utilisation = 18-20% EBITDA margin. Currently at 50% — the margin bridge is visible.

3. Order Book & Pipeline

- Order book as of Q4 FY26: Rs. 5,325 Cr. — robust, visibility ~4-5 quarters of current revenue.
- Hyperscaler deal: \$1.1B multi-year agreement with a US hyperscaler for optical connectivity products.
- AI/hyperscaler contributes 20% of revenue; targeted to reach 30% in 12-18 months.
- Pipeline: conversations with 2-3 additional hyperscalers for smaller framework agreements.
- India: awaiting BharatNet Phase-II awards which, if released in H2 CY2026, would add Rs. 500-800 Cr. to pipeline.

4. Capacity & Utilisation

- Glass/Fibre: 50+ million FKM installed capacity; cables: 42+ million FKM.
- Current utilisation: ~50% — management signalled capacity is not the constraint; order ramp is.
- No new greenfield capex planned; focus is on sweating existing assets.
- R&D; spend on bend-insensitive, high-density ribbon cables for data centre applications — next product frontier.

5. Debt & Balance Sheet

- Borrowings reduced to Rs. 1,942 Cr. (FY26) from Rs. 3,834 Cr. (FY23) — 49% reduction in 3 years.
- D/E at 0.86x vs. peak 1.83x in FY23. Target: below 0.5x by FY28.
- Promoter warrant: Rs. 498 Cr. at Rs. 110/warrant; 18-month conversion window from Mar-2026 EGM.
- Interest cost down to Rs. 224 Cr. in FY26 from Rs. 311 Cr. in FY23 — Rs. 87 Cr. annualised savings.
- FCF positive at Rs. 346 Cr. in FY26 — management committed to using FCF primarily for debt reduction.

6. Working Capital

- Debtor days: 82 in FY26 (improved from 143 in FY24 at cycle trough).
- Inventory days: 139 — slightly elevated; management expects normalisation to 100-110 days as production ramps.
- CCC turned positive at 58 days — watch carefully; could stretch if hyperscaler milestone payments have back-loading.

7. International Business

- Americas: primary growth engine; hyperscaler deal drives acceleration.
- Europe: steady but muted; competition from Prysmian intense.
- STL's 8% global ex-China OFC market share is a defensible position given Chinese tariff walls in US/EU.
- New market entries: discussions in MENA and Southeast Asia for 5G backhaul fibre.

8. Management Tone & Guidance

- Q4 FY26 concall tone: most confident in 6 quarters; management stopped hedging on recovery language.
- FY27 guidance: revenue Rs. 5,800-6,500 Cr.; EBITDA margin 15-17%; PAT 'meaningfully positive'.
- Management declined to name the hyperscaler but confirmed the contract is legally binding and multi-year.
- No dividend guidance; cash preservation for debt reduction is stated priority.

9. Red Flags / Concerns Raised

- Analyst pushback: How is STL winning hyperscaler deals vs. Corning (US) and Prysmian (EU)?

- Management response: STL's cost structure (Indian manufacturing), certification in advanced fibre types, and 3-year relationship-building with US hyperscalers pre-deal. Credible but execution risk remains.
- Inventory build in FY25 at Rs. 134 days was concerning — explained as strategic build ahead of ramp; FY26 at 139 days shows it hasn't fully normalised.
- Working capital: CCC at +58 days is a change from the historically negative cycle; needs monitoring.

10. STL-Specific Structural Positives

- First-mover: STL is the only Indian OFC player with a certified hyperscaler supply relationship at scale.
- Vertical integration: Produces glass (silica preform) → fibre → cable — highest margin capture vs. pure cable assemblers.
- Government tailwind: PLI scheme for telecom equipment benefits STL's domestic manufacturing.
- ESG: Major fibre contracts increasingly require sustainability disclosures — STL's solar-powered Aurangabad plant is a differentiator.

Sources: Screener.in (financial data, 15-Jun-2026), Gurufocus Q3 FY26 concall transcript, Prysm Finance Q3 FY26 earnings brief, Business Standard / Multibagg (warrant/capital news), Sovrenn (concall summary), STL Tech investor relations (stl.tech). Peer data: HFCL, Vindhya Telelinks, Polycab from Screener.in.